Revision Date
06/01/2020

Background:
CalFresh claims are established by eligibility staff and referred to fiscal to process the collection. Revisions have been made to reflect the change of policy that increases the claims establishment threshold for closed CalFresh cases.

Purpose:
This section includes policies for managing CalFresh claims.

Policy:

63-455.1 Inter-State/ Inter-County Claims:

Inter-State Claims

In cases where a household moves from out of state, the county can initiate or continue collection for any overissuance (OI) that occurred while the case was under the other state's jurisdiction. The state has the option to continue OI collection procedures or transfer the OI claim to the state in which the customer is now residing.

Prior to initiating action to collect claims against households which have moved into the state, the county will contact the state that overissued benefits to determine that the state does not intend to pursue collection. Once the county accepts responsibility, claim collection will be retained by the county that is collecting the OI.

Inter-County Claims

When a household moves to another county and continues to receive CalFresh:

- The sending county will send all OI information to the receiving county
- The sending county will no longer be responsible for collection of the OI and will remove the claim from the record
- The receiving county will be responsible for collection of the OI

When a household moves to another county and is not receiving CalFresh, the last county responsible for the initiation and collection of the OI will continue to collect.

63-455.2 Criteria for Establishment of Claims for Closed Cases:

Effective June 1, 2019, the CalFresh claims establishment threshold will be $400.00 for closed cases with an OI caused by an Administrative Error (AE) or Inadvertent Household Error (IHE). Previously the claims establishment threshold on closed cases was $125.00 or less for an AE and $35.00 or less for an IHE. The new threshold does not apply to OIs arising from Intentional Program Violation (IPV) or Quality Control (QC) reviews.

There is no change to the method of collection for closed cases. Any claim established before June 1, 2019 on a closed case with an OI caused by an AE or IHE will not be affected by this policy change. The county will not refer collection of AE and IHE claims from nonparticipating households (households not currently receiving CalFresh benefits) when the county has documentation that the liable individual cannot be located.

The county will not refer collections of all IPV claims when:

- The household has already repaid the OI, or
- The county has documentation showing the household (and its sponsor) cannot be located, or

- The county determines that collection action will prejudice the case against a household member referred for legal prosecution

63-455.3 Suspending Collection of Claims:

Suspending Collection of AE and IHE claims

If collection action has been initiated and at least one demand letter has been sent, the county may suspend further collection action of an AE or IHE claim against a nonparticipating household when:

- The household cannot be located or
- The cost of further collection action is likely to exceed the amount that can be recovered

Suspending Collection of IPV Claims

If collection action has been initiated, and demand letters have been sent, the county may suspend further collection action on any IPV claim against a nonparticipating household or its sponsor when:

- The household or its sponsor cannot be located or
- The cost of further collection action is likely to exceed the amount that can be recovered

Demand letters will be sent as follows:

- At least one demand letter for claims of less than $100
- At least two demand letters for claims between $100 and $400
- At least three demand letters for claims of more than $400

63-455.4 Action Against Individuals Failing to Respond to Collection Letters:

For nonparticipating households, the county will pursue other collection actions, as appropriate, to obtain the amount owed on a claim for any household or sponsor who fails to respond to written demand letters for repayment of any AE, IHE or IPV claim, unless the county can determine that such actions are generally not cost effective. Other collection actions may include, but are not limited to:

- Referrals to collection and/or similar private and public sector agencies
- State tax refund intercept
- Lottery offsets
- Wage garnishments
- Property liens
- Small claims court
- Unemployment Compensation Benefits intercept arrangements may be made to intercept the liable individual’s unemployment compensation benefits to collect any claim. This collection may be included as part of a repayment agreement
- Public Service – if authorized by a court, the value of a claim may be paid by the household performing public service
- Tax Intercept Program

Under the Tax Intercept Program, any individual who has an outstanding CalFresh OI may have his/her State and/or Federal tax return "intercepted" by the California Department of Social Services (CDSS) through the State Franchise Tax Board (FTB) and/or the Internal Revenue Service (IRS). The individual's tax refund diverted to the county will be applied as payment against the claim. The county will not intercept taxes simultaneously while an OI is being recouped either by allotment reduction or regular payments. Customers contacting staff with questions regarding the Intercept Program are to be referred to the Appeals department for an Administrative Review. If the individual has requested a

State hearing or is awaiting a decision from a State hearing, the county shall notify CDSS to remove the individual from the tax intercept program (MPP 20-403.24).

63-455.5 Delinquent Claims:

A CalFresh OI claim is considered delinquent if:

- The claim has not been paid by the due date, and a satisfactory payment arrangement has not been made. The date of delinquency for the claim is the due date on the initial written notification/demand letter. The claim will remain delinquent until payment is received in full, a satisfactory payment agreement is negotiated, or allotment reduction begun.
- A payment arrangement has been established, and a scheduled payment has not been made by the due date. The date of delinquency for the claim is the due date of the missed installment payment. The claim will remain delinquent until payment is received in full, allotment reduction begun, or the county determines to either resume or renegotiate the repayment schedule.

A claim will not be considered delinquent if:

- Another claim for the same household is currently being paid either through an installment agreement or allotment reduction, and the county expects to begin collection on the claim once the prior claim(s) is settled.
- The county is unable to determine delinquency status because collection is coordinated through the court system.

Once a CalFresh claim has been delinquent for three consecutive years, the only allowable collection method is through the Treasury Offset Program (TOP). The county must stop all other collection methods and all demand/repayment notices being sent.

Program Impact/s:

None

References:

ACL 20-24; ACL 16-108; ACL 19-50; ACL 18-99; ACL 15-95; ACL 13-79, ACL 13-79E
ACIN 1-33-14; MPP 63-801; MPP 20-400.1

Sunset Date:

This policy will be reviewed for continuance by 05/31/2023

Approval for Release:

6-15-20

RICK WANNE, Director
Eligibility Operations